Built around Crowd Following

Trading principles are formulated around crowd following. A trader will go for the stocks which are purchased by a majority, assuming positive returns.

The idea behind crowd following is;
As more people get involved, prices will continue to increase, and eventually, we will be able to sell our stocks at a profit.
The candlesticks indicators and oscillators are tools that indicate the direction of the crowd.

Built around Contrarian Approach

Investing is built around a contrarian approach. When it comes to investing, we try to avoid the market noise or stocks which are very popular and therefore expensive to buy as positive sentiments are built into them. In such situations, they might end up buying overvalued stocks.

In the contrarian approach, we look for stocks that are not looked upon seriously or where the crowd is not directed. We do so to identify good companies with attractive valuations whose market value is equal to or less than the true value.

Many individuals do not have the initial capital required for investing. In such situations, we trade in limited capital to increase the capital by taking additional risks. This can however work both ways.
Once we've raised the capital, it starts to grow slowly and steadily. Once the capital base is of a considerable size, we protect it with low-risk low-return investments which compound with time.

This is how many investors have grown their capital. They have moved from generating to steady growth of capital. However, it's not required that we all trade. In fact, we can do just as well with stable salary/ profits and stable investments.